Stock pitch · Systematic value portfolio, holding since June 2025

Kansai Electric Power

TSE: 9503 · Utilities · Japan · Price ¥2,754 (29 Oct 2026, before H1 results)

HOLD · keep the model weight

Is Japan's nuclear champion still cheap once its record profits normalise? Our verdict: yes, modestly — hold, but do not extrapolate 2025.

Noah Doose · 29 October 2026 · Student research for interview purposes, not investment advice. Not affiliated with, endorsed by or prepared for any firm.

In brief

Stay, but size it as a utility, not as a deep-value rebound.

Cheap on the screen: P/E 5.8x and P/B 0.79x at the December 2025 rebalance, against 18.4x and 1.90x for European and US utility peers — rank 1 of 59.

But the screen used a peak year: fiscal 2025 profit benefited from an 84% nuclear capacity factor and a favourable fuel-cost time lag; the company itself guides ordinary profit down 44% for fiscal 2026.

What remains: the largest nuclear fleet in Japan, a regulated grid, and a balance sheet strong enough to fund ¥2.5tn of investment while paying a rising dividend (¥80).

Source: pipeline multiples at 31/12/2025 (fiscal year used: March 2025, Bloomberg-derived); Kansai FY2025 results and Management Plan 2026 (30 Apr 2026)

Noise vs fundamentals

Noise: H1 fiscal 2026 ordinary profit fell 65% (released 29 October): oil at $108, a weak yen and a ¥87bn fuel-cost time lag that reverses when prices fall. Full-year guidance and the ¥80 dividend were kept.

Noise: a one-off ¥105bn gain on the sale of Kinden shares flatters 2026 net profit.

Fundamental: nuclear output is the profit engine — the capacity factor fell from 77% to 63% in H1 (outage schedule to verify: planned inspections or a regulatory issue change the reading).

Fundamental: the new plan resets ROE to about 8-9% and targets net debt/EBITDA of about 5x as investment rises: lower returns, but more visible ones.

Source: Kansai H1 FY2026 results (29 Oct 2026) and Management Plan 2026 (Apr 2026)

Business quality

Generation: the largest nuclear fleet in Japan (Takahama, Ohi, Mihama), with a low marginal cost; surveys for a successor reactor at Mihama started in November 2025.

Grid: transmission and distribution under a regulated revenue cap (new tariffs from 1 November 2026).

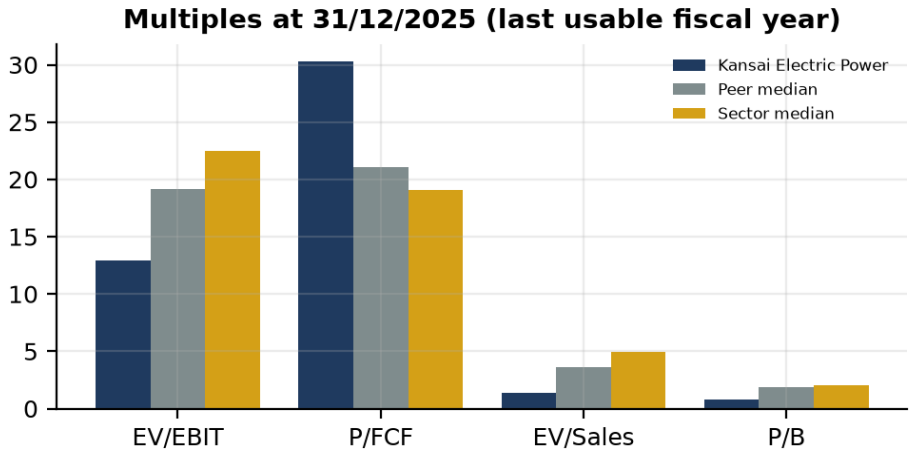
Retail and growth: data-centre demand is the plan's growth story; area demand is still flat (≈ 133 TWh).

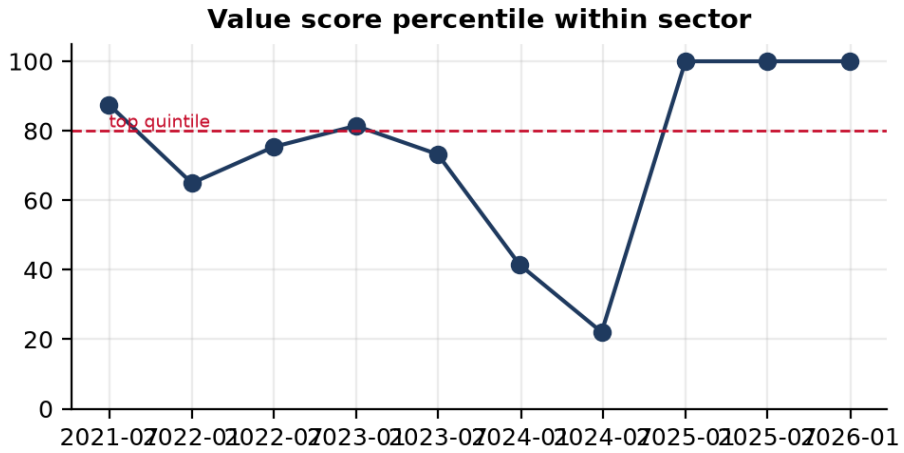
Balance sheet: equity ratio 36%, net debt/EBITDA 3.8x (fiscal 2025); asset recycling of more than ¥900bn planned.

Shareholders: payout 25-35%, dividend maintained or raised, at least ¥270bn of returns over fiscal 2026-28.

Source: Kansai FY2025 results, Management Plan 2026, return-policy notice (Apr 2026); Mihama survey announcements (2025)

Why it is cheap





Source: pipeline (pitches/assets/9503_JP); StockAnalysis (29 Oct 2026, third-party)

Japanese utilities still carry a post-Fukushima discount: political risk, legal injunctions against restarts, and a history of governance problems.

The score entered the top quintile in mid-2025 as profits peaked — the same pattern as a cyclical, in a slower form.

Third-party today: P/B about 0.85x, trailing P/E about 7x, yield about 2.9%.

The risk the market might be right about

Returns on capital: ¥2.5tn of investment over three years at a target ROIC above 3.3% barely covers the cost of capital.

Cash flow: free cash flow was −¥300bn in H1; the dividend depends on asset sales until new investments earn.

Nuclear concentration: one court injunction or extended outage changes the earnings base by hundreds of billions of yen.

Fuel and FX: the guidance assumes $80 oil and ¥160/$; H1 ran at $108.

Source: Kansai H1 FY2026 results and Management Plan 2026

Valuation

For a regulated utility, the right question is what return on equity the market is paying for.

Scenario	Sustainable ROE	Cost of equity	Justified P/B	Value / share	vs ¥2,754
Bear	5.5%	7.0%	0.75x	¥2,430	-12%
Base	7.0%	7.0%	1.00x	¥3,240	+18%
Bull	8.5%	6.5%	1.36x	¥4,418	+60%

Inputs: book value per share ≈ ¥3,240 (from price and third-party P/B, to verify); growth 1%. Bear: nuclear outages and fuel costs keep ROE near 5-6%. Base: plan ROE of about 7-8%. Bull: restarts, data-centre demand and asset sales lift ROE to about 8.5%.

Reading: the upside is moderate and the downside limited: a holding, not a high-conviction add.

Source: own calculations; StockAnalysis (29 Oct 2026, third-party)

How we are positioned

2%	4%	-6.4%	+10.8%
equal-weight portfolio	minimum-variance portfolio (cap)	H1 2026 total return (EUR)	MSCI World Net EUR, H1 2026

Bought in June 2025, kept in December 2025. Both optimisers give it the 4% cap: a low-volatility, low-correlation holding.

We keep the model weight. We would cut it on a restart injunction or a dividend cut, and add if the H2 fuel-cost reversal lifts ordinary profit back above the ¥270bn plan average.

JPY exposure is hedged when five or more Japanese names are held.

Source: outputs/portfolio/weights_*.csv; pipeline returns

Sources

[K1] Kansai Electric, FY2025 (to Mar 2026) results presentation, 30 Apr 2026 — kepco.co.jp/english/ir (accessed 29 Oct 2026)

[K2] Kansai Electric, Q1 FY2026 results, 31 Jul 2026 (accessed 29 Oct 2026)

[K3] Kansai Electric, H1 FY2026 results, 29 Oct 2026 (accessed 29 Oct 2026)

[K4] Kansai Electric, Management Plan 2026 (FY2026-28), Apr 2026 (accessed 29 Oct 2026)

[K5] Kansai Electric, shareholder return policy notice, 30 Apr 2026

[K6] Kinden tender offer and sale of shares, Jun 2026 (company notice, via search excerpt — to verify)

[K7] Mihama successor reactor survey announcements, Jul-Nov 2025

[K8] Equity offering, Nov 2024 (press; final amounts to verify)

[K9] StockAnalysis, Kansai Electric price, range and multiples, 29 Oct 2026 (third-party)

Portfolio Project pipeline: score, multiples (Bloomberg-derived), weights, returns

To verify at the terminal: cash and net debt, reactor outage schedule, integrated report, governance history.